Inflation

Chapter	9
Date	Weeks 1 and 2, Term 3
Objectives	• the concept, and measurement, of inflation • the distinction between headline and underlying inflation • the costs of inflation and the benefits of low inflation • types of inflation - demand pull / cost push
Resources	Inflation.pptx

Key Terms

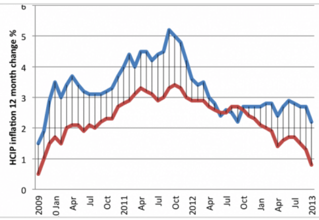
- Inflation: the persistent increase in the prices of goods and services over a period of time
- Demand-pull inflation: inflation that is driven by rising demand
- Cost-push inflation: inflation that is driven by increases in production costs
- Hyper-inflation: persistent and rapidly increasing levels of inflation
- Disinflation: decreasing levels of inflation
- Headline inflation: the measure that is reported by the media (raw CPI)
- Underlying inflation: Inflation that best reflects market forces
- Rate of inflation: percentage change in CPI over a time period

<u>Consolidation</u>

Link Between International Competitiveness and Inflation - Economics Help

Readers Question: If British industry was to become uncompetitive it would have the following adverse effects on the economy: one of them is a higher level of inflation. How to explain that? If British industry becomes uncompetitive it means that basically,

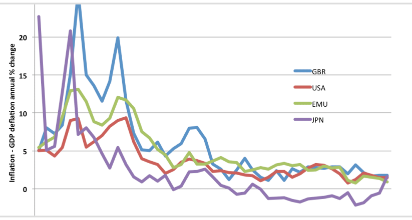
https://www.economicshelp.org/blog/565/inflation/inflation-competitivenes/



International Competitiveness - Economics Help

International competitiveness measures the relative cost and value of a countries exports. For example, if UK goods and services become more expensive than its competitors, then the UK would see a decline in its

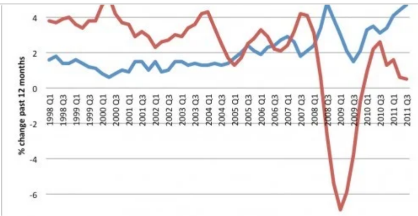
https://www.economicshelp.org/trade2/international_competitiveness/



Inflation and Recession - Economics Help

In a recession, you would usually expect a fall in the inflation rate due to lower demand and lower economic activity. The inflation rate fell in major recessions like 1929-32, 1981, 1991 and 2020.. However, it is not guaranteed

https://www.economicshelp.org/blog/2314/inflation/inflation-and-the-recession/



▼ How do we measure inflation?

Most common method is the use of CPI (Consumer Price Index).

This summarises the overall change in prices across a basket of goods

Each category has a weighting attached to it that symbolises its importance to and average household

For example, housing is weighted greater than clothing because we spend more on housing

▼ What are the different ways we calculate inflation?

Weighted median:

Takes the middle 50% of price changes

Trimmed mean:

Excluding the top 15% and the bottom 15% in terms of price changes and taking the rest

Excluding volatile items:

Excludes rapidly changing items e.g. Petrol

▼ What are the causes of inflation?

Demand Pull (inflation driven by increasing demand and not enough supply)

Cost push (inflation driven by rising production costs)

▼ What is demand pull inflation?

When demand exceeds supply so producers bump up prices to capitalise rather than produce more.

Can use aggregate demand model. An increase in any of these components of AD leads to increased demand and causes demand pull inflation

AD model is the same as AE in terms of components

EG: Expectations in economic growth by businesses may lead them to invest more and demand more labour, raw materials etc: creating demand pull inflation as their suppliers can charge more

Flowchart for demand pull inflation for both business and consumer example:

Lowering interest rates → lower cost of borrowing → lower opportunity cost for spending → increase incentive to spend → increase investment spending

▼ What is cost push inflation?

When production costs of businesses go up

This occurs when production costs increase for businesses due to reasons such as increased wages and price of raw materials. This increases production costs and decreases supply. Demand for the goods haven't changes so businesses pass on price increases to consumers to make up for decreased supply.

Factors affecting AS (the ability to produce):

- Cost of production
- Resource availability
- Technology

For example, a trade union for construction workers may want an increase in wages so when they win businesses must pay more in salaries thus increasing production costs

Flowchart for cost push inflation:

Decreased production costs → decreased cost per unit → producers can increase output for same price → increased AS (decreased cost-push inflation)

▼ **Where in the BTC do we see demand pull and cost push inflation?**

In a boom there is both cost push and demand pull

Trough more likely to see demand pull due to spare capacity.

> Spare capacity means you can increase production without increasing production costs because you have the space to do so.
>
> For example, a company has 2 factories both operating at 50% during a trough. This company can easily bump up production to 75% without increasing cost of production, but this does increase demand for supply creating demand pull inflation.

▼ **What are the costs of inflation?**

Reduction in purchasing power

> Because as prices increase you spend more on the goods you already buy so you have less real income

Increases uncertainty

> Nominal interest rates will increase. This is because banks always want to maintain a real interest rate
>
> Prices are less predictable

Causes capital for labour substitution

> Replacing humans with machinery because they are cheaper and more reliable

International competitiveness

> Higher prices from higher inflation are less competitive and lower prices from lower inflation are more competitive in the international market. This is because its more attractive to buy lower priced goods and these lower prices are from lower inflation

Reduction in income equality

Bracket creep: inflation increases your income level into a new tax bracket meaning you pay more tax and have less real income

▼ **What are the benefits of low stable inflation?**

Helps to maintain low real interest rates

If inflation is stable and low then it suggests stability in prices so lenders keep loan rates lower because its safer

If inflation rates are unstable and sharp then this is unstable so lender increase loan rates to cover the risk of rising inflation

Creates confidence about growth of economy

People are more willing to spend because they know how much prices will change in the future

Assets like houses will increase in value over time

Changes in prices are predictable, allowing consumers/producers to comfortably make decisions

- Good for international competitiveness
  - more attractive
  - more exports
  - more revenue
  - more EG
- Low real interest rates
  - encourages spending
    - aids EG
- increased confidence
  - more predictable
  - more production
  - more productivity
  - more EG and lower UE
  - more incomes

▼ **Affect on Creditors (lenders) and Debtors (borrowers).**

Lenders lose and borrowers gain in high interest rates.

This is because if you were to borrow $100 50 years ago, and because of inflation it is worth $200 now when you have to pay it, you have gained as you only need to pay $100

In the real world lenders cover this loss with interest rates

▼ **Describe the concepts and measurements of inflation**

Inflation is the persistent increase in the price of goods and services over a period of time. Price stability is one of the governments objectives and targets inflation at a rate of 2-3% p.a. Inflation is commonly measured using the Consumer Price Index (CPI) which takes a basket of everyday goods and services and measures the change in price of these goods and services over a period of time.

▼ **Explain the distinction between headline and underlying inflation**

Headline inflation is a type of inflation that is reported by the media and is usually the raw CPI figure which includes volatile products such as prices of fuels and fruits and vegetables.

Underlying inflation takes the CPI inflation figure and adjusts it to reflect the market forces affect on inflation. This measure is more commonly used by economists as it removes the extreme changes in the price of goods and services such as fuel, which skew the true inflationary figure.

▼ **Explain the costs of inflation and the benefits of low inflation**

Inflation delivers costs and benefits to the economy. International competitive can be boosted or worsened by high or low inflation. Market confidence can be boosted or worsened by high or low inflation. High inflation also leads to a reduction in purchasing power while low inflation can lead to lower interest rates which encourages spending.

If the inflation of country A's currency is greater than the inflation of country B's currency, then country B looks more attractive to international trade. This is because country B had less inflation so its good and services are cheaper than country A. Country B subsequently has an increase in trade options and exports which increases the revenues of their domestic companies, driving economic growth in that country. Country A would see lower exports and lower economic growth than country B.

High and unstable inflation creates uncertainty in the market. Businesses are unable to assess the value of their returns on future investments so will shy away from investing, decreasing economic growth rates. Businesses will also misallocate resources as they try riskier alternatives because there is risk in normal investments anyways. Banks increase their interest rates to cover for unpredictable inflation which encourages saving rather than spending in the economy. All of this discourages economic growth.

Low and stable inflation, on the other hand, creates more confidence in the market. Businesses are better able to see the value of returns on investments and will allocate resources in more efficient ways as they are better able to predict the productivity and returns of these resources. Greater confidence also leads to greater employment of labour and economic growth.

Banks can decrease their nominal interest rates which stimulates spending over saving in the economy, driving economic growth.

High inflation also reduces the purchasing power of income if prices of goods and services increase at a greater rate than incomes increase. This leads to reduced spending as consumers realise they are now spending too much on goods and services they could previously afford in a bid to save money. For those with already low real income, it becomes even harder to support families - leading to a greater gap in income inequality and equitable distribution of resources.

▼ **Distinguish between the different causes of inflation**

There are two causes of inflation - demand pull and cost push inflations.

Demand pull inflation occurs when aggregate demand exceeds aggregate expenditure. This pushes prices up as suppliers capitalise on this higher level of demand in a bid to increase profits. An example of demand pull inflation occurring is a decrease in interest rates. Lower interest rates decreases the cost of borrowing for consumers and increases the opportunity cost of saving which encourages spending on goods and services. This drives demand pull inflation as explain before.

Cost push inflation occurs when the cost of production increases, typically due to an increase in the price of raw materials and wages. Since demand stays the same, producers simply increase prices of their products in a bid to conserve profits, rather than increasing production. These price increase flow onto consumers who ultimately pay more for the same valued products, driving inflation. A common cause of increased cost of production for firms is an increase in the price of oil. A core element of many machineries in production lines, the increased price of such a necessary commodity increases cost of production for firms who pass this onto consumers in the form of higher priced goods and services.